

the execution. The investor, however, incurs all market risk and price uncertainty. For example, if prices for a buy order increase during trading investors will receive less favorable prices, but if prices decrease investors will receive more favorable prices. Investors do not know what the prices will be in advance. The broker's profit in an agency execution will be the commission received less any applicable fees incurred during trading.

*Principal bid.* A principal bid, also known as a capital commitment or risk bid, is when the investor provides the broker with the order or basket, and the broker provides the investor with immediate executions at specified prices such as the day's closing price or the midpoint of the bid-ask spread at some agreed upon point in time. The broker charges the investor a premium (e.g., the principal bid) which is more than the standard agency commission fee. In this case, the investor transfers all risk and price uncertainty to the broker. If the broker is able to transact the acquired position or basket in the market at a lower cost than the principal bid premium they will make a profit, but if they incur a cost higher than the principal bid premium they will incur a loss. The advantage that brokers often have over investors in a principal bid transaction is that they have an inventory of customer order flow that could be used to offset the acquired position, or they may have potential hedging vehicles such as futures, ETFs, etc., that will allow them to trade more passively and incur lower costs. Quite often investors need to implement an investment decision within some specified time constraint which may lead to higher transactions costs. Brokers are not necessarily tied to these requirements.

A principal bid for an order can occur for a single stock order or a basket of stock. For a single stock order the broker will be provided with the name of the stock and shares to trade. Depending on the relationship between broker and investor, the broker may or may not be provided with the order side. The broker will then provide the investor with the principal bid for the order. If they are not provided with the side they may provide the investor with a two way market. Since the broker knows the exact stock, they are able to incorporate actual market events and company specific risk into the principal bid premium. For a basket principal bid, investors will often solicit bids from multiple brokers. To keep their trading intentions and actual orders hidden until they select the winning broker, they only provide the brokers with a snapshot of the trade list: includes average order size, trade list value, volatility, risk, tracking error, and depending upon their relationship, a breakdown by side, although the sides may simply be listed as side A and side B. Since the broker is not privileged to the actual names in the trade list, they incur a second level of risk.